

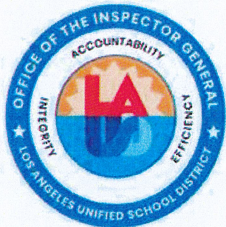
OFFICE OF THE INSPECTOR GENERAL LOS ANGELES UNIFIED SCHOOL DISTRICT

Annual Report to the Board of Education



Fiscal Year 2026

**William D. Hoffman
Inspector General**



Los Angeles Unified School District Office of the Inspector General

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July 31, 2026

To the Honorable Members of the Board of Education:

I am pleased to submit the Office of the Inspector General's (OIG) Annual Report. This report is required by the OIG Charter and summarizes our activities and accomplishments for the period from July 1, 2025, through June 30, 2026 (FY 2026).

The OIG conducts audits, investigations, and special reviews of the Los Angeles Unified School District's (LAUSD or District) programs and operations to support effective decision-making and to detect and deter fraud, waste, and abuse. Our goal is to enhance the public's confidence in the District by providing independent oversight and promoting integrity and accountability in its programs and operations.

The OIG is proud to support the District's goals and vision by identifying opportunities for achieving greater economy, efficiency, and effectiveness. On behalf of all OIG staff, I would like to thank the Board of Education for your continued support.

William D. Hoffman
Inspector General

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FY 2026 OIG KEY ACCOMPLISHMENTS

Promoting Accountability. Improving Transparency. Strengthening Trust.



This FY 2026 Annual Report presents the accomplishments and activities of the OIG in carrying out its mission of independent oversight through audits, investigations, and special services. The report demonstrates the OIG's commitment to protecting District resources, promoting accountability, and supporting continuous improvement throughout the LAUSD.

AUDIT ACTIVITIES

The OIG conducted a variety of audit activities, resulting in the issuance of 36 reports and 139 recommendations aimed at strengthening compliance, accountability, and operational effectiveness.



One of OIG's most comprehensive engagements was the [Cradle-to-Grave Review](#) of the \$21.4 million Classroom Replacement Project at South Shores Visual & Performing Arts Magnet Elementary School. This multidisciplinary review examined the project lifecycle from contractor prequalification and procurement through construction completion and technical quality. Although the District project successfully delivered a high-quality educational facility, our review identified opportunities to strengthen prequalification procedures, Best Value procurement practices, cost and change-order management, and construction oversight. The review's recommendations were designed to improve transparency, accountability, and project delivery across future bond-funded construction projects throughout the District.



Another significant assessment examined the District's oversight of [Out-of-state Nonpublic Schools and Residential Treatment Centers \(NPS/RTC\)](#)s serving students with special education needs. This assessment identified opportunities to strengthen documentation, monitoring, contractor compliance, and accountability. The OIG concluded that improvements to oversight processes would help ensure student safety, maintain compliance with legal and contractual requirements, and reinforce public confidence in these specialized educational services.



Two Naloxone Kits - Health Office

The OIG also conducted a review of the District's [Drug Abuse Management and Response Program related to Naloxone](#), a lifesaving medication used to reverse opioid overdoses. The review found that Naloxone was available at all sampled schools and that District staff followed required emergency procedures in every documented administration. District records showed that Naloxone was administered 28 times, with no opioid-related fatalities occurring at school sites. The review also identified opportunities to strengthen controls over the management, inventory, and administration of Naloxone kits, and provided recommendations to further enhance program oversight.

In support of the District's goals for fiscal stewardship and operational efficiency, the OIG audited the [Maintenance and Operations Branch's warranty claims process](#). The audit found that incomplete asset and warranty tracking, lack of formal policies and procedures, and limited monitoring of warranty claims reduced the District's ability to maximize warranty coverage and realize potential cost savings. Our recommendations focused on strengthening warranty management practices, improving accountability, and enhancing coordination among departments to ensure the District fully benefits from available warranty protections.



Through these and other audits conducted during FY 2026, the OIG identified opportunities to improve internal controls, strengthen compliance, enhance operational effectiveness, protect District resources, and promote transparency and accountability across LAUSD.

Annual Work Plan

The Audit Unit performs its work in accordance with Government Auditing Standards, which call for an annual work plan identifying key areas of focus for the upcoming fiscal year. The work plan serves as a roadmap for the OIG's audit activities but remains flexible to address emerging risks, changing priorities, and resource considerations throughout the year. Each year, the Board of Education approves the OIG's work plan, and the OIG publishes the approved plan on our website. The FY 2027 work plan is available via this link: [FY 2027 Work Plan](#).

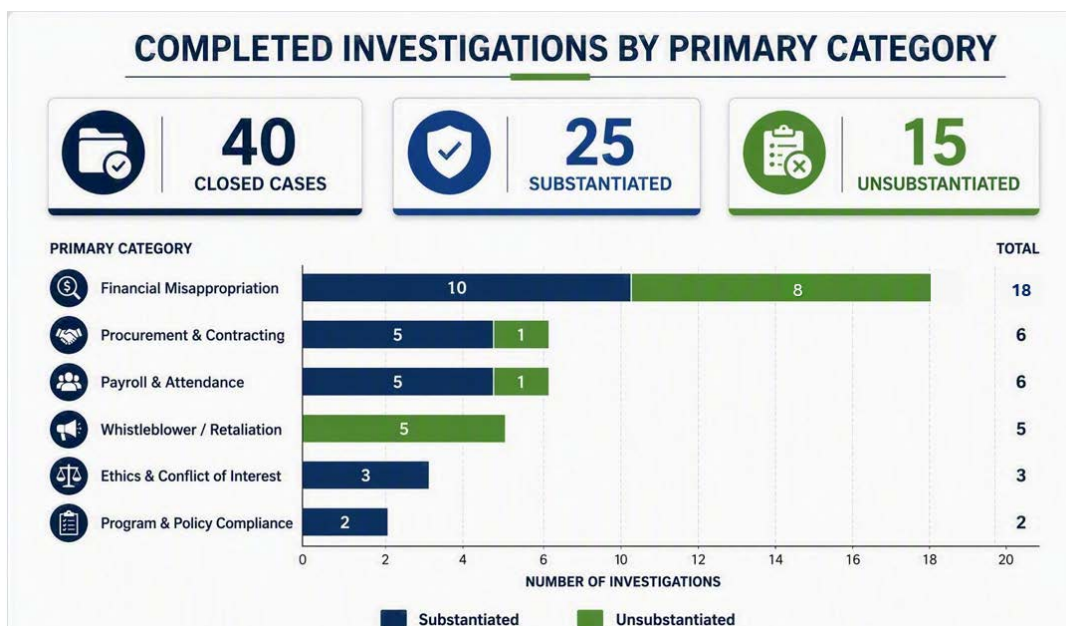
INVESTIGATIVE ACTIVITIES

During FY 2026, the Investigations Unit continued its mission of detecting and investigating allegations of fraud, waste, abuse, and other improper or illegal activities involving District employees, contractors, and entities doing business with the District. In addition to referrals from the Audit and Special Services Units as well as District management, investigative work was driven primarily by reports received through the OIG's 24/7 hotline.

FY 2026 INVESTIGATIVE ACTIVITIES



In FY 2026, the OIG completed 40 investigations. These investigations involved allegations spanning six primary categories of concern, reflecting the range of matters referred to our office for review.



Of the 40 completed investigations, 25 resulted in substantiated findings involving violations of District policies, procedures, or ethical standards. These matters were referred to the appropriate District offices, including Staff Relations and other responsible departments, for consideration of corrective or disciplinary action, policy improvements, or other administrative remedies.

In a case involving a maintenance employee, the OIG substantiated allegations of overtime fraud through surveillance and other investigative techniques. The investigation resulted in disciplinary action and drove operational improvements, including enhanced inventory controls and strengthened security measures. These corrective actions help protect organizational resources, reduce the risk of future losses, and improve accountability over workforce and asset management.

In a separate case involving a contracted construction inspector, the OIG substantiated that the contractor exploited his District position for personal financial gain, creating a conflict of interest. The investigation resulted in the contractor's removal from the District and strengthened procurement oversight by prompting ethics training and a review of contract provisions related to conflicts of interest. These actions reinforce ethical standards, enhance public trust, and strengthen safeguards against procurement and contracting risks.

The remaining 15 investigations were unsubstantiated based on all available evidence at that time. These investigations involved purported financial misconduct, retaliation, harassment,

procurement concerns, and employee misconduct. In each instance our independent investigative process exonerated employees and other individuals of wrongdoing.

During the fiscal year, the OIG issued three subpoenas for business and financial records to support its investigative work. The OIG's subpoena authority is an essential tool that provides access to critical evidence needed to objectively evaluate allegations involving employees, contractors, and other entities conducting business with the District. This authority strengthens the OIG's ability to determine whether allegations are substantiated or unsubstantiated and promotes confidence in the integrity of the investigative process.



OIG Hotline

A key component of the Investigations Unit's work is administration of the District's Fraud Hotline. During FY 2026, the hotline received 436 complaints and allegations, reflecting strong engagement from employees, students, families, stakeholders, and members of the public. Of these complaints, 288 (66%) were referred to other District offices for appropriate review and action. To promote awareness of reporting mechanisms and strengthen the District's anti-fraud culture, the OIG conducted fraud awareness presentations for more than 1,900 District employees, including school principals and newly hired staff.



SPECIAL SERVICES

The Special Services Unit continued to expand its role in FY 2026 as a key component of the OIG's oversight framework. Established in FY 2025, the Unit combines data analytics, special reviews, technical evaluations, due diligence reviews, and a hybrid team of auditors and investigators who collaborate to address fraud, waste, abuse, and other areas of concern.



Special Reviews

In FY 2026, the OIG completed a review of the [Maintenance and Operations \(M&O\) tool](#) procurement and inventory management processes. The review was initiated after risk assessment activities identified concerns regarding data integrity, documentation practices, inventory controls, and reports of missing and stolen tools. The review examined tool purchasing, tracking, inventory management, and prior corrective actions across M&O's Project Units.



Our review found significant opportunities to strengthen internal controls and accountability over District-owned tools. The OIG made 56 recommendations related to procurement controls, inventory management, recordkeeping, system functionality, and oversight practices. Overall, the review serves as an important roadmap for strengthening controls over millions of dollars in District assets and helping ensure that tools essential to maintaining and supporting school facilities are properly tracked, safeguarded, and managed.

The OIG also completed a review of the [Photovoltaic \(PV\) Program](#), a \$136.3 million renewable energy initiative consisting of 62 solar energy systems installed at 61 District sites. The review evaluated energy production, contractor compliance with performance guarantees, operations and maintenance (O&M) services, and implementation of prior OIG recommendations.

The OIG identified missed financial benefits, reduced energy generation, and systemic weaknesses in the oversight, monitoring, and maintenance of the PV Program. These issues resulted in noncompliance with contractual obligations, an estimated \$616,114 in guaranteed payments owed to the District for PV systems that failed to meet the contractual guaranteed performance, and \$1,816,174 of paid O&M services that were not rendered. This review provides a roadmap for improving the effectiveness of the solar energy program, increasing accountability over contractor performance, recovering potentially significant funds owed to the District, and enhancing the long-term financial and environmental benefits of LAUSD's renewable energy investments.



Technical Evaluations

The OIG completed five technical evaluations, including an evaluation of [PCN3, Inc. and the Seismic Retrofit of the Auditorium Project at Benjamin Franklin Senior High School](#). The evaluation found that the project was delayed by 366 days and had a change order rate of 100.16%, including a 27.16% error-and-omission rate. These impacts were primarily attributed to late end-user scope changes, unforeseen conditions, design deficiencies, and insufficient contractor staffing. The OIG also identified \$88,010 in questioned change orders, roofing workmanship deficiencies, gaps in PCN3's project management and contract compliance, and weaknesses in the Facilities Services Division's change order cost-estimating oversight and warranty inspection practices.

Due Diligence Reviews

The OIG completed 89 due diligence reports, covering contractors engaged in or seeking to do business with the District, as well as independent charter schools, and District senior management applicants.

Data Analytics

During FY 2026, the data analytics team completed data extractions of general ledger, cash disbursement, and vendor data into our system's analytics environment. The team also produced a risk assessment report that assigned risk ratings and identified risk areas to enhance the OIG's risk assessment process to identify potential fraud, waste, and abuse in District operations. Furthermore, the team designed and developed additional analytics and reports to expand the OIG's visibility into District expenditures. As a result of these efforts, two new special review projects were generated for FY 2027. The Unit's work reflects the

OIG's commitment to leveraging data-driven oversight and specialized reviews to protect District resources and promote operational excellence.

Due to the lack of general funds available in FY 2026, the OIG was able to use the Power BI reports mostly to compile bond-funded programs and expenditures into a digital warehouse. As funding becomes available, the OIG will expand its efforts to assess general funded programs and expenditures.

PROFESSIONAL STANDARDS

The OIG operates in accordance with the Principles and Standards for Offices of Inspector General, published by the Association of Inspectors General (AIG Green Book). The principles and standards represent generally accepted principles, quality standards, and best practices applicable to federal, state, and local Offices of Inspectors General.

External Peer Reviews

The OIG is subject to periodic external peer reviews to assess whether our work adheres to relevant standards. In FY 2026, the AIG [assessed](#) the OIG's audit work for compliance with the AIG Green Book and Government Auditing Standards (Yellow Book). The next peer review is scheduled for Fall 2027 to assess the OIG's audits, investigations, and special services.

External Assistance

The AIG Green Book and Government Auditing Standards require that staff collectively possess the professional proficiency to accomplish the OIG mission. If staff lacks the proficiency or capacity to accomplish the OIG mission, then support service contractors or outside consultants may be used. In FY 2026, we contracted professional services from the following firm:

- Andrew Patchan Jr. provided training to strengthen our planning of performance audits and our understanding and assessing of internal controls.

The OIG maintains a “bench” of firms with additional expertise that can augment our capacity to perform our work. The following firms were retained to perform OIG services in FY 2026:

- Vasquez & Co. provided audit services.
- Crowe, LLP provided audit services.
- Davis Farr, LLP provided audit services.
- Risk Solutions & Investigations, Inc. provided due diligence and background services.
- CliftonLarsonAllen, LLP provided data analytics support services.

APPENDIX

Under California Education Code Sections [35400](#) and [35401](#), the OIG possesses broad independent authority to perform critical oversight functions, including:

- Conducting audits and investigations of District programs, operations, and activities.
- Referring matters for prosecution to the local District Attorney or California Attorney General when evidence of wrongdoing is identified.
- Issuing subpoenas, compelling witness testimony, administering oaths, and requiring the production of records and evidence relevant to investigations.
- Maintaining strict confidentiality of investigations, investigative files, work papers, and the identities of individuals involved.
- Protecting the integrity of investigations through legal penalties for unauthorized disclosure of subpoenaed information and for making knowingly false statements under oath.

The OIG's authority is grounded not only in Board policy but also in state law, providing a strong foundation for independent oversight. By establishing the OIG through legislation, LAUSD strengthened the office's credibility, independence, and ability to carry out audits and investigations free from interference. The statutory framework empowers the OIG to serve as the District's primary watchdog agency, promoting integrity, accountability, transparency, and the responsible stewardship of public resources.

The OIG Charter

The [OIG Charter](#) outlines the OIG's authority and responsibilities and provides that the Board expects and encourages the OIG to be an independent voice that expresses its views without censorship by District management. California Education Code Sections 35400 and 35401 are embodied in the Charter.

Some of the key Charter provisions authorize the Inspector General to:

- ☑ Audit and investigate any and all functions within the District as well as charter schools, charter school management organizations, and private entities that do business with the District.
- ☑ Have full, free, and unrestricted access to all District records, reports, audits, reviews, plans, projections, documents, files, contracts, memoranda, correspondence, data or information on hardcopy or electronic media, or other materials of the District.
- ☑ Hire staff or employ contract services within the scope of the budget authorized by the Board of Education, and within employment and public procurement requirements.

OIG HOTLINE

Office of the Inspector General *"Independent and Objective Oversight"*

REPORT FRAUD, WASTE, AND ABUSE



(213) 241-7778 or (866) 528-7364



inspector.general@lausd.net



<https://oig.lausd.org/>

- ☐ Misuse of LAUSD funds and resources
- ☐ Retaliation for reporting misconduct
- ☐ Anyone can make a report
- ☐ You may remain anonymous

English



Español

